

Management Discussion and Analysis

For the 4th quarter and the year ended 31 December 2016
(Audited financial statements)

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Management Discussion and Analysis

Executive summary: Economic review & outlook

Thai economy in 4Q16: Thai economy continued to gradually recover in the fourth quarter. The main driver was public spending especially accelerating disbursement of investment budget, which consisted mostly of small projects that could be disbursed quickly. On the contrary, tourism sector slowed down specifically from drop in Chinese tourist arrivals due to clamp-down on Chinese 'zero-dollar' tour operations. However, exports began to positively drive the economy due to increase in export value of oil-related products induced by acceleration in global crude oil price together with growth of global demand for some products such as electrical appliances and electronics. This also led to improvement in industrial sector. Private consumption, though supported by government transfer of aid money to low-income earners, year-end shopping tax break scheme, and improvement in farm income, was still low. Private investment remained contracted and was concentrated in some sectors such as alternative energy and service sector. All in all, as some economic drivers were not operated at normal capacity, Thai economy is anticipated to expand at the rate near that in the third quarter, resulting in overall economic growth of 3.3% in 2016 increasing from 2.8% in 2015.

Financial market & banking industry: The policy rate was held at 1.50% as the current level of the policy rate was appropriate for economic recovery. However, there were risks from economic and monetary policy implementation uncertainty of major industrial countries. Thai baht was averaged at 35.4 baht per dollar, depreciated from the previous quarter due to concerns about the adverse effect of U.S. trade policy on emerging countries' exports. At the end of November 2016, total loans from 19 domestic commercial banks grew 2.5% compared to the same period last year (YoY) and grew by 1.6% from the end of last year (YTD). Deceleration in loan growth stemmed from a slowdown in business loan especially in manufacturing industry, reflecting fragile private investment. Additionally, retail loan growth remained calmed after the end of government real estate stimulus. Deposits slightly expanded at 1.7% (YoY) and 0.2% (YTD). This was mainly from an increase in savings deposit, while fixed deposit declined at a decreasing rate as a result of continually low interest rate.

Economic outlook for 2017: Thai economy is expected to continue to keep its moderate growth momentum. The main drivers will be public spending and infrastructure investment. Moreover, better outlook of other components are also anticipated in 2017. Gradual improvement of private consumption is expected due to an increase in farmers' income and lower level of debt after the expiry of the five-year ownership period of the first-time car buyer scheme. Private investment, though remains low and concentrated in some businesses, is expected to recover due to support from Public-Private Partnership (PPP). Tourism also has an upward trend reinforced by continually growth of European and U.S. tourist arrivals, while contraction of Chinese tourist arrivals is expected to unwind. Moreover, continual recovery of export is expected, though remain low owing to fragile global economic recovery and uncertainty from U.S. trade policy. In sum, as growth engines remain robust, though not operating at their normal capacity, economic growth in 2017 is projected to be at 3.5%.

Research by **TMB Analytics**
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Summary of 4Q16 and 12M16 TMB's operating performance

TMB's pre-provision operating profit (PPOP) continued to grow, reflecting a positive momentum of earning capability. Amid economic uncertainties, the Bank continued to operate with prudence. As such, high provision of THB8,649 million was set in 2016 to accommodate extra NPL write off to reduce future downside risk. NPL ratio dropped to 2.53% and coverage ratio remained strong at 143%.

PPOP improved 10% from last year

NIM in 2016 improved 15bps QoQ to 3.17%, driven mainly by optimizing deposit mix and well-managed funding cost. Therefore, NII rose by 6.6%. Non-NII increased by 2.3%. Net fee income growth was 2.2% from growth in key strategic fee products, despite heavily weighed down by 32.1% reduction of loan-related fee. Total operating income rose by 5.3%. Non-interest expenses, with focus on efficiency, rose only 0.7%. As a result, PPOP improved by 10.2% YoY to THB18,667 million.

The bank remained prudent and set up high provision

TMB remains prudent in its business operation. With additional provision to cover 100% of NPLs for an extra write-off together with uncertain economic condition, the Bank set relative high provision of THB8,649 million in 2016 and NPL amounted to THB12 billion was written off in 2016. Extra NPL written off with 100% provisioned was mainly to reduce downside risk in the future.

NPL down from 2.99% in 2015 to 2.53% in 2016

NPL dropped by 14.0% to THB17,605 million and NPL ratio dropped to 2.53%. Coverage ratio maintained strong at 143% at the end of 2016.

Net profit declined 11.9% due to high provision

Due to higher provision, net profit in 2016 declined by 11.9% to THB8,226 million. ROE was recorded at 10.2%.

The Bank will continue to further increase ability to generate fee income while growing loan selectively based on risk-adjusted return. Asset quality will remain one of the Bank's priorities together with maintaining coverage ratio and capital base at high levels.

Discussion of operating performance

Core operating performance remained on positive momentum

Despite challenging business environment, TMB maintained its positive momentum in earning capability, reflected by a continued growth of pre-provision operating profit (PPOP).

In 4Q16, TMB posted PPOP of THB4,834 million, up 19.0% from the same period last year. Well-managed funding cost led to higher NIM of 3.33%. NII hence grew by 6.2% YoY to THB6,391 million. Non-NII was THB2,944 million, up 10.1% YoY, boosted by a 7.2% growth in net fees and service income. With revenue growth and a 1.2% decrease in non-interest expense, cost to income ratio in 4Q16 improved to 48.0% from 53.0% in 4Q15.

12M16 PPOP rose 10.2% to 18,667 million

For 12-month period, TMB reported THB18,667 million of PPOP, a 10.2% growth from previous year. NIM rose 15bps to 3.17% and NII increased 6.6% YoY to THB24,761 million. Non-NII was THB10,462 million, up 2.3% YoY. Net fees and service income grew by 2.2% YoY to THB7,997 million as a growth in retail fee was weighted down by reduction of loan-related fees. With efficiency improvement, non-interest expense grew only 0.7%. Cost to income ratio, therefore, improved to 46.9%, from 49.2% in 2015.

12M16 net profit was THB8,226 million with ROE of 10.2%

TMB has been prudent and proactive in NPL management in order to limit future downside risks. With that direction, the Bank set aside a high level of provision to accommodate extra NPL write-off, of which needs 100% provision regardless of collateral value, and at the same time, ensured strong coverage ratio. In 4Q16, the Bank set aside THB2,234 million of provision and reported net profit of THB2,138 million. For the 12M16, provision expense amounted to THB8,649 million, up from THB5,479 million in 12M15. As a result, net profit declined by 11.9% to THB8,226 million with an ROE of 10.2%. Details of operating performance and financial position are as follows.

Figure 1: Selected statement of profit and loss and other comprehensive income

(Unit: THB Million)	4Q16	3Q16	%QoQ	4Q15	%YoY	12M16	12M15	%YoY
Interest income	8,777	8,795	-0.2%	9,369	-6.3%	35,631	36,430	-2.2%
Interest expenses	2,386	2,527	-5.6%	3,353	-28.8%	10,870	13,210	-17.7%
Net interest income	**6,391**	**6,268**	**2.0%**	**6,015**	**6.2%**	**24,761**	**23,220**	**6.6%**
Fees and service income	2,810	2,580	8.9%	2,536	10.8%	10,168	9,712	4.7%
Fees and service expense	605	545	10.9%	479	26.3%	2,171	1,891	14.8%
Net fees and service income	2,205	2,034	8.4%	2,057	7.2%	7,997	7,821	2.2%
Total other operating income	739	662	11.6%	616	19.9%	2,465	2,409	2.3%
Non-interest income	**2,944**	**2,696**	**9.2%**	**2,673**	**10.1%**	**10,462**	**10,230**	**2.3%**
Total operating income	**9,335**	**8,965**	**4.1%**	**8,689**	**7.4%**	**35,223**	**33,450**	**5.3%**
Non-interest expenses	**4,515**	**4,124**	**9.5%**	**4,572**	**-1.2%**	**16,589**	**16,467**	**0.7%**
Impairment loss on loans and debt securities	2,234	2,541	-12.1%	923	142.0%	8,649	5,479	57.9%
Profit before income tax expense	2,586	2,300	12.4%	3,194	-19.0%	9,984	11,504	-13.2%
Income tax expense	441	451	-2.1%	570	-22.6%	1,740	2,153	-19.2%
Profit for the period	**2,145**	**1,850**	**16.0%**	**2,624**	**-18.3%**	**8,244**	**9,351**	**-11.8%**
Profit to non-controlling interest of subsidiaries	**6**	**4**	**48.9%**	**3**	**86.7%**	**18**	**18**	**-0.7%**
Profit to equity holders of the Bank	**2,138**	**1,845**	**15.9%**	**2,621**	**-18.4%**	**8,226**	**9,333**	**-11.9%**
Other comprehensive income (loss)	-61	-105	N/A	-27	N/A	1,596	37	4182.5%
Total comprehensive income	**2,084**	**1,745**	**19.4%**	**2,597**	**-19.8%**	**9,841**	**9,389**	**4.8%**
Basic earnings per share (Baht per share)	**0.049**	**0.042**	**16.2%**	**0.060**	**-18.4%**	**0.188**	**0.213**	**-11.9%**

Note: Consolidated financial statements

Net interest income and net interest margin

NII growth was supported by well-managed funding cost

TMB managed to grow net interest income and improve net interest margin further. The improvement was due mainly to well-managed funding cost as the Bank continued to optimize deposit structure and volume.

For 4Q16, TMB reported THB6,391 million of net interest income (NII) which increased by 2.0% from 3Q16 and 6.2% from 4Q15.

- Interest income dropped by 0.2% QoQ and 6.3% YoY to THB8,777 million. Such a decrease was due to lower yield on earning assets, in line with the market interest rate trend.
- Interest expense fell by 5.6% QoQ and 28.8% YoY to THB2,386 million. Key reasons were lower funding cost and a decrease in deposit volume.

For the 12-month performance, NII rose by 6.6% YoY to THB24,761 million from the same period last year.

- Interest income declined by 2.2% YoY to THB35,631 million. The decrease was due mainly to lower interest income on investment. Interest income on loan, however, grew by 1.6% YoY from growth in performing loan.
- Interest expenses dropped by 17.7% YoY to THB10,870 million due to lower funding cost, despite the expansion of deposit volume from 2015.

NIM rose to 3.33% in 4Q16 and 3.17% in 12M16

NIM rose by 9bps from 3.24% in the previous quarter to 3.33%. For 12M16, NIM increased by 15bps from 3.02% in 12M15 to 3.17%.

Figure 2: Net interest income (NII)

(Unit:THB million)	4Q16	3Q16	%QoQ	4Q15	%YoY	12M16	12M15	%YoY
Interest income	**8,777**	**8,795**	**-0.2%**	**9,369**	**-6.3%**	**35,631**	**36,430**	**-2.2%**
Interest on interbank and money market items	403	429	-6.1%	507	-20.4%	1,746	2,037	-14.3%
Investments and trading transactions	66	63	5.2%	75	-11.1%	267	274	-2.8%
Investments in debt securities	289	302	-4.1%	484	-40.2%	1,370	2,148	-36.3%
Interest on loans	7,995	7,969	0.3%	8,204	-2.5%	32,086	31,588	1.6%
Others	24	32	-25.8%	100	-76.3%	164	383	-57.3%
Interest expenses	**2,386**	**2,527**	**-5.6%**	**3,353**	**-28.8%**	**10,870**	**13,210**	**-17.7%**
Interest on deposits	1,174	1,376	-14.7%	2,100	-44.1%	6,134	8,163	-24.9%
Interest on interbank and money market items	121	39	210.7%	198	-39.2%	336	882	-61.9%
Contributions to the Deposit Protection Agency	705	736	-4.2%	743	-5.2%	2,954	2,829	4.4%
Interest on debt issued and borrowings	382	370	3.1%	310	23.3%	1,427	1,326	7.6%
Borrowing fee	5	5	-4.2%	1	235.2%	17	7	137.9%
Others	0	1	-75.3%	1	N/A	3	3	-5.0%
Net interest income (NII)	**6,391**	**6,268**	**2.0%**	**6,015**	**6.2%**	**24,761**	**23,220**	**6.6%**

Note: Consolidated financial statements

Non-interest income

Net fees and service income maintained its positive momentum

TMB could also grow non-interest income (Non-NII), supported by a positive momentum in fees and service income.

For 4Q16, the Bank generated THB2,944 million of Non-NII which grew 9.2% QoQ and 10.1% YoY.

- Net fees and service income rose by 8.4% QoQ and 7.2% YoY to THB2,205 million, driven mainly by bancassurance and mutual fund fees.
- Gain on trading and FX transaction also rose by 54.9% QoQ and 41.1% YoY to THB576 million.

For 12M16, non-interest income increased by 2.3% YoY to THB10,462 million. Key items were as follows.

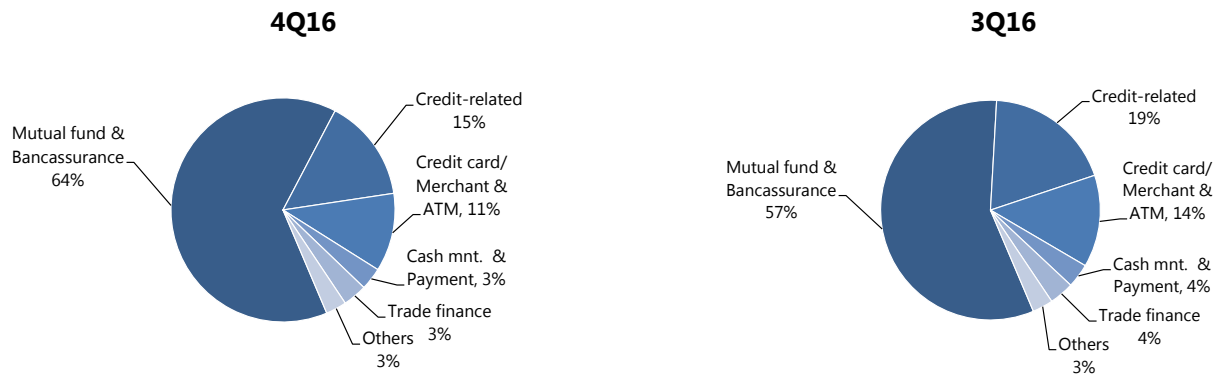
- Net fees and service income increased by 2.2% YoY to THB7,997 million. Fees from strategic products were well on track. Loan-related fee, however, reduced YoY as commercial loan growth slowed down during the year.
- Gain on foreign exchange transactions dropped by 0.6% YoY to THB1,691 million as capital market income was affected by interest rate volatility during the second quarter.

Figure 3: Non-interest income

(Unit:THB million)	4Q16	3Q16	%QoQ	4Q15	%YoY	12M16	12M15	%YoY
Fees and service income	2,810	2,580	8.9%	2,536	10.8%	10,168	9,712	4.7%
Acceptances, aval and guarantees	156	151	3.2%	172	-9.2%	575	543	5.8%
Others	2,653	2,428	9.3%	2,364	12.3%	9,593	9,169	4.6%
Fees and service expenses	605	545	10.9%	479	26.3%	2,171	1,891	14.8%
Net fees and service income	**2,205**	**2,034**	**8.4%**	**2,057**	**7.2%**	**7,997**	**7,821**	**2.2%**
Gains (losses) on tradings and foreign exchange transactions	576	372	54.9%	408	41.1%	1,691	1,701	-0.6%
Gains (losses) on financial instrument designated at fair value	9	1	N/A	-8	N/A	-13	-16	N/A
Gains (losses) on investments	14	115	-88.1%	4	231.2%	201	181	11.2%
Gains on sale of assets	20	36	-44.4%	55	-63.3%	115	152	-24.5%
Dividend income	6	28	-80.0%	8	-26.5%	62	40	55.8%
Others	115	111	2.8%	150	-23.8%	408	351	16.3%
Non-interest income	**2,944**	**2,696**	**9.2%**	**2,673**	**10.1%**	**10,462**	**10,230**	**2.3%**

Note: Consolidated financial statements

Figure 4: Net fees and service income breakdown



Note: Bank-only financial statements

Operating segment

TMB reported THB9,335 million of total operating income in 4Q16. The figure increased 4.1% QoQ and 7.4% YoY from 3Q16 and 43Q15, respectively. For the 12-month period, total operating income rose by 5.3% YoY to THB35,223 million, of which 71% was from NII and 29% was from Non-NII.

Segment definition
Commercial banking:
Corporate & SME
Retail banking:
Individual customers

In terms of operating segment, the increase in operating income was driven mainly by retail banking. In 12M16, operating income from retail segment increased by 16.0% YoY while operating income from commercial segment declined by 2.8% YoY. Therefore, the percentage of retail operating income to total operating income increased to 37% from 34% in 12M15. Commercial banking remained the largest and accounted for 53% and other segment was 10%.

Figure 5: Income breakdown*

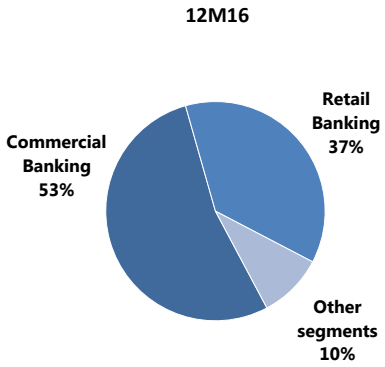
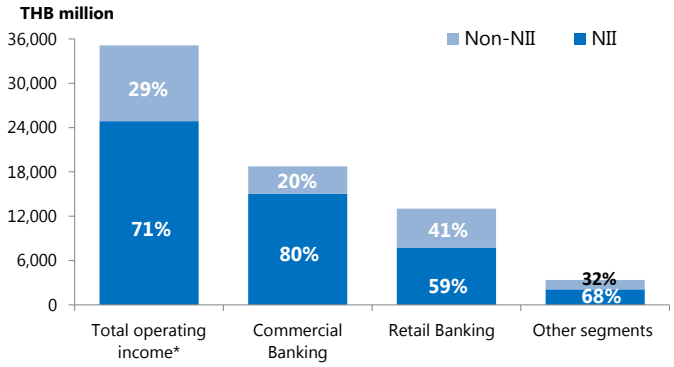


Figure 6: : Income breakdown by operating segment*



Note: Consolidate financial statement ,
** Total operating income excluded interbank elimination*

Non-interest expenses

TMB has continued to enhance its operational efficiency. Overall, non-interest expense was well in line with business plan.

In 4Q16, non-interest expenses increased by 9.5% QoQ but dropped 1.2% YoY to THB4,515 million. Key items are as follows.

- Personnel expenses rose 0.9% QoQ but reduced 4.3% YoY to THB2,117 million.
- Premises and equipment expenses rose 3.4% QoQ and 1.4% YoY to THB841 million.
- Other expenses rose by 39.2% QoQ and 2.5% YoY to THB1,232 million, mainly from marketing expenses.

For 12M16, TMB recorded THB16,589 million of non-interest expenses, a 0.7% YoY growth from 12M15. This reflected the Bank's improving operational and cost efficiency. Key factors are;

- Personnel expenses was THB8,118 million, relatively stable when compared with THB8,169 million in 12M15.
- Premises and equipment expenses rose by 0.6% to THB3,150 million.
- Other expenses increased by 4.2% YoY to THB4,007 million, mostly from computer software rental and outsource expenses.

Cost to income ratio was on an improving trend, in line with the Bank's target

Cost to income ratio has improved as target. In 4Q16, cost to income ratio rose slightly to 48.0% from 46.4% in 3Q16 but declined from 53.0% in same quarter last year. For 12M16, cost to income ratio decreased to 46.9%, better than 49.2% in 12M15. Looking forward, TMB will continue to enhance operational efficiency to reduce cost to income ratio further.

Figure 7: Non-interest expenses

(Unit:THB million)	4Q16	3Q16	%QoQ	4Q15	%YoY	12M16	12M15	%YoY
Personnel expenses	2,117	2,099	0.9%	2,211	-4.3%	8,118	8,169	-0.6%
Directors' remuneration	8	7	14.3%	7	14.3%	41	42	-2.4%
Premises and equipment expenses	841	813	3.4%	829	1.4%	3,150	3,130	0.6%
Taxes and duties	317	320	-0.9%	323	-1.9%	1,273	1,282	-0.7%
Other expenses	1,232	885	39.2%	1,202	2.5%	4,007	3,845	4.2%
Non-interest expenses	**4,515**	**4,124**	**9.5%**	**4,572**	**-1.2%**	**16,589**	**16,467**	**0.7%**

Note: Consolidated financial statements

Impairment loss on loans and debt securities

TMB ensured sufficient level of provision and strong coverage ratio

A prudent management of asset quality is one of the Bank's priorities. In 4Q16, provision expense was THB2,234 million, compared with THB2,541 million in 3Q16. For the 12-month period, provision expenses amounted to THB8,649 million, compared with THB5,479 million in 12M15. Such an increase was mainly to accommodate the proactive NPL write-off, reflected the Bank's objective to reduce future downside risks.

Coverage ratio therefore remained strong at 143% (consolidated basis) as of Dec-16, compared to 142% as of Sep-16 and Dec-15.

Discussion of financial position

Figure 8: Consolidated financial position

Unit: THB million	Dec-16	Sep-16	%QoQ	Dec-15	% YTD
Cash, Interbank and derivative assets	140,849	137,727	2.3%	145,299	-3.1%
Investments	62,116	59,523	4.4%	98,260	-36.8%
Loans	593,441	591,421	0.3%	580,776	2.2%
Accrued interest receivables	915	968	-5.5%	1,068	-14.3%
Less Allowance for doubtful accounts & Revaluation allowance	25,088	24,857	0.9%	29,025	-13.6%
Loans and Allowance - net	**569,268**	**567,532**	**0.3%**	**552,819**	**3.0%**
Properties for sale - net	1,506	1,165	29.3%	1,207	24.8%
Premises and equipment - net	12,383	12,047	2.8%	10,292	20.3%
Goodwill and other intangible assets - net	1,704	1,542	10.5%	1,239	37.5%
Deferred tax assets	775	840	-7.7%	2,045	-62.1%
Other assets	32,399	29,785	8.8%	27,777	16.6%
Total Assets	**821,000**	**810,161**	**1.3%**	**838,937**	**-2.1%**
Deposits	598,948	606,839	-1.3%	644,694	-7.1%
Interbank and money market items	45,417	29,976	51.5%	36,217	25.4%
Borrowings	39,874	39,741	0.3%	30,184	32.1%
Other liabilities	52,912	51,848	2.1%	51,245	3.3%
Total Liabilities	**737,152**	**728,404**	1.2%	**762,339**	-3.3%
Equity attributable to equity holders of the Bank	83,723	81,638	2.6%	76,491	9.5%
Non-controlling interest	125	119	5.0%	107	16.8%
Total equity	**83,848**	**81,757**	2.6%	**76,598**	9.5%
Total liabilities & equity	**821,000**	**810,161**	**1.3%**	**838,937**	**-2.1%**

Note: Consolidated financial statements

Assets

Total assets increased QoQ but declined YTD

As of Dec-16, TMB reported total assets on consolidated basis of THB821,000 million which increased by 1.3% from Sep-16 (QoQ) but declined 2.1% from Dec-15 (YTD). Details are as follows.

- Total loan to customers (less deferred revenue) rose by 0.3% QoQ and 2.2% YTD to THB593,441 million. (Details in the following section)
- Net interbank and money market items declined by 2.4% QoQ and 1.6% YTD to THB113,858 million. The change was a result of the Bank's liquidity management.
- Net investments were THB62,116 million which increased by 4.4% QoQ but dropped 36.8% YTD mainly from adjustment of bond portfolio.
- Net properties for sale was THB1,506 million which increased by 29.3% QoQ and 24.8% YTD. (Details in the following section)

Total loans

Total loan rose 0.3% QoQ and 2.2% YTD

As of Dec-16, TMB recorded total loans to customers (less deferred revenue) on consolidated basis of THB593,441 million which rose 0.3% QoQ and 2.2% YTD.

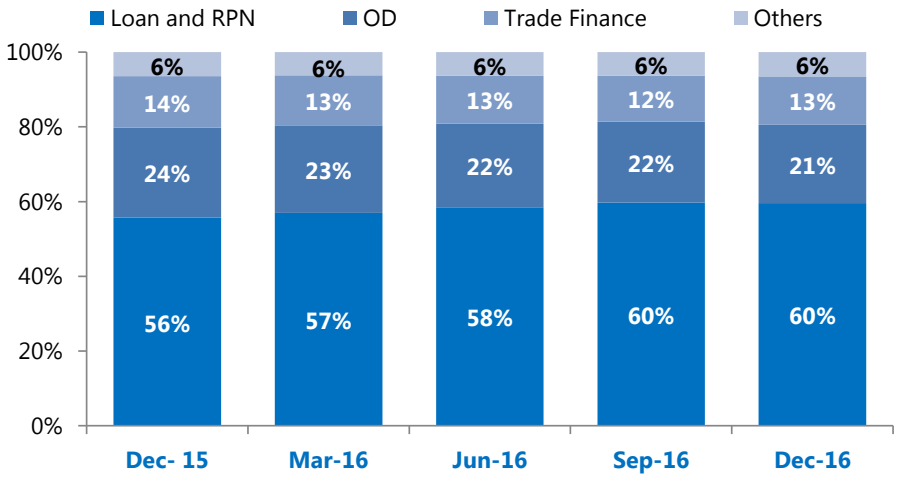
On bank-only basis, total loans amounted to THB593,393 million, of which 60% was term-loan & RPN, 21% was working capital (OD) and 13% was Trade Finance.

Performing loans (bank-only) increased by 0.3% QoQ and 2.8% YTD

When compared with Sep-16 and Dec-15, total loan rose by 0.3% QoQ and 2.2% YTD, respectively. The increase was from performing loan expansion.

- Performing loans (bank-only) was recorded at THB575,836 million which grew by 0.3% QoQ and 2.8% YTD. Key driver was retail lending led by mortgage loan.
- NPLs (bank-only) was at THB17,557 million; increased slightly by 0.8% QoQ but dropped by 14.1% YTD as a result of proactive NPL resolution.

Figure 9: Total loan (bank-only) breakdown by products



Note: Bank-only financial statements

Figure 10: Total loan (bank-only) breakdown by loan type

(THB million)	Dec-16	Sep-16	Dec-15	% QoQ	% YTD
Performing loans	575,836	573,956	560,303	0.3%	2.8%
Non-performing loans	17,557	17,417	20,442	**0.8%**	**-14.1%**
Total loans to customers	**593,393**	**591,373**	**580,745**	**0.3%**	**2.2%**

Note: Bank-only financial statements

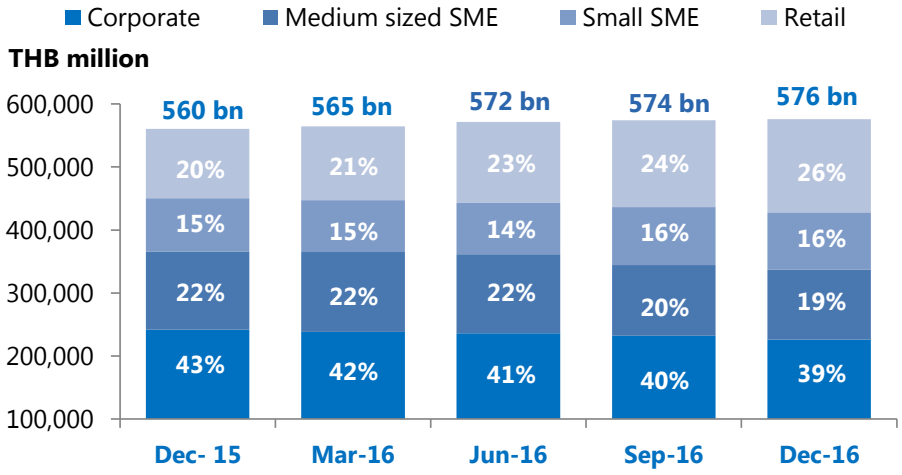
Performing loan

As mentioned above, the 0.3% QoQ and 2.8% YTD growth in performing loan was mainly from retail segment. Details are as follow.

- Commercial lending declined 1.9% QoQ and 5.0% YTD.
  - Corporate loan declined by 2.7% QoQ and 6.6% YTD.
  - SME loan decreased by 0.9% QoQ and 3.1% YTD as the Bank selectively grow loan.
- Retail lending continued to grow by 7.4% QoQ and 34.6% YTD, driven by a robust growth in mortgage loans.

The proportion of retail loan to total performing loan, therefore, increased slightly to 26%. Corporate and SME loans accounted for 39% and 35% of performing loan, respectively.

Figure 11: Performing loan breakdown by customer segment



Note: Bank-only financial statements
Definition of customer segments are as follows:
1) Corporate (WBG): Commercial customers with total annual revenue over THB1 billion
2) SMEs = Medium sized SME + Small SME (SE)
Medium sized SME: Commercial customers with total annual revenue of THB100 million-1 billion
SE: Commercial customers with total annual revenue less than THB100 million, including owner operators
3) Retails: Individuals

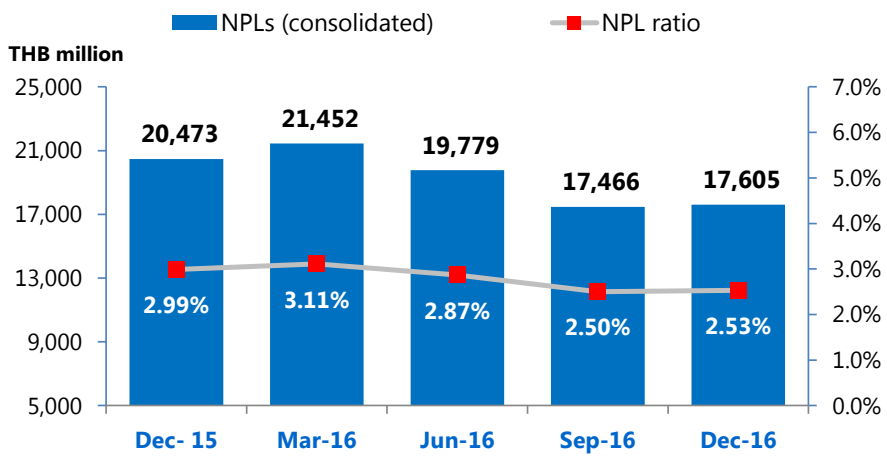
Non-performing loan and NPL ratio

NPL ratio was at 2.53% as of Dec-16

On consolidated basis, non-performing loans ("NPLs") which classified as substandard, doubtful, and doubtful of loss increased slightly by 0.8% QoQ but dropped 14.0% YTD to THB17,605 million. On bank-only basis, NPLs also rose only by 0.8% QoQ but fell by 14.1% YTD to THB17,557 million. The reduction was mainly a result of proactive NPL management, especially by write-off and sale.

Consequently, NPL ratio (include interbank loan) on consolidated basis stayed relatively stable at 2.53%, compared with 2.50% as of Sep-16 and declined from 2.99% as of Dec-15, respectively. On bank-only basis, NPL ratio was at 2.52% as of Dec-16, compared with 2.50% in the previous quarter and dropped from 2.99% as of Dec-15.

Figure 12: NPLs and NPL ratio



Bank-only

NPLs	20,442	21,403	19,730	17,417	17,557
NPL ratio	2.99%	3.10%	2.87%	2.50%	2.52%

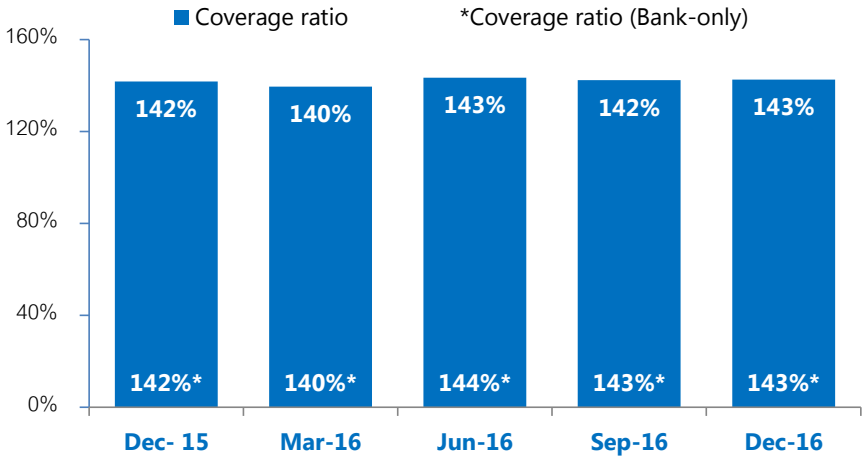
Note: Consolidated and bank-only financial statements

Allowance for loan losses

As of Dec-16, consolidated allowance for doubtful accounts and revaluation allowance for debt restructuring was THB25,088 million. The figure increased slightly by 0.9% QoQ but dropped but 13.6% YTD. The decrease was mainly because of NPL write-off and sale. For 2016, TMB made THB12 billion of extra write-off and THB1.2 billion of NPL sale.

Nonetheless, coverage ratios (the ratio of allowance for loan loss to NPLs) remained strong at 143% on both consolidated and bank-only basis, as of Dec-16. TMB has consistently maintained coverage ratio at high level.

Figure 13: Coverage ratio



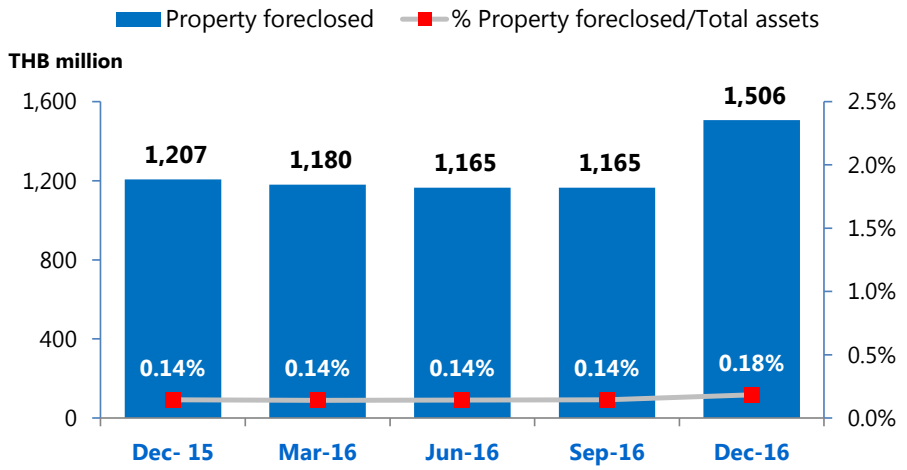
Note : Consolidated and Bank-only financial statements

Properties for sale

As of Dec-16, net properties for sale increased by 29.3% QoQ and 24.8% YTD to THB1,506 million.

The ratio of properties for sale to total assets, however, remained low at 0.18%, compared with 0.14%, as of Sep-16 and Dec-15. The change was in line with business plan.

Figure 14: Properties for sale



Note: Consolidated financial statements

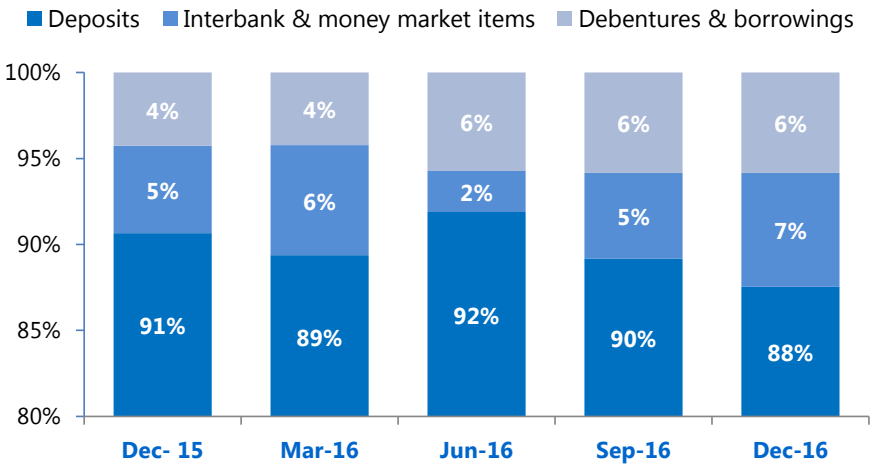
Liabilities

As of Dec-16, total liabilities on consolidated basis amounted to THB737,152 million which rose by 1.2% QoQ but dropped 3.3% YTD. The decrease was due to the decline in deposit volume. Details of key figures are as follows.

- Total deposits amounted to THB598,948 million which declined 1.3% QoQ and 7.1% YTD. (see details in following section)
- Net interbank and money market of THB45,417 million was up 51.5% QoQ and 25.4% YTD, in response to the Bank's liquidity management.
- Borrowings were THB39,874 million, relatively stable QoQ but rose 32.1% YTD as the Bank issued USD300 million of unsecured senior debenture under EMTN program in April 2016.

Deposit remained the largest composition of interest-bearing liabilities. As of Dec-16, deposits represented 88% of interest-bearing liabilities. This followed by interbank and money market items of 7% and debt issued and borrowings of 6%.

Figure 15: Interest-bearing liabilities breakdown



Note : Consolidated financial statements

Deposits

As of Dec-16, total deposits on consolidated basis were THB598,948 million. The figure dropped by 1.3% and 7.1% YTD. The decrease was a result of the Bank's strategy to optimize deposit mix and volume.

Deposit breakdown by products

While rebalancing deposit volume to align with loan growth, the Bank continued to optimize deposit mix by expanding transactional deposits (All Free & One Bank) and replacing Time deposit (TD) with No-Fixed and ME, the Bank's flagship products in terms of saving account.

Overall, the change was in line with such a direction. TMB All Free expanded by 21.6% QoQ and 129.0% YTD. No-Fixed and ME declined slightly by 1.8% and 6.9% QoQ but still increased by 3.5% and 7.5% YTD respectively. TD dropped by 9.5% QoQ and 32.4% YTD.

As non-transactional deposit decline, the ratio of CASA (current & saving accounts) to total deposit increased to 39.8% from 37.5% as of Sep-16 and 37.0% as of Dec-15.

Deposit breakdown by segment

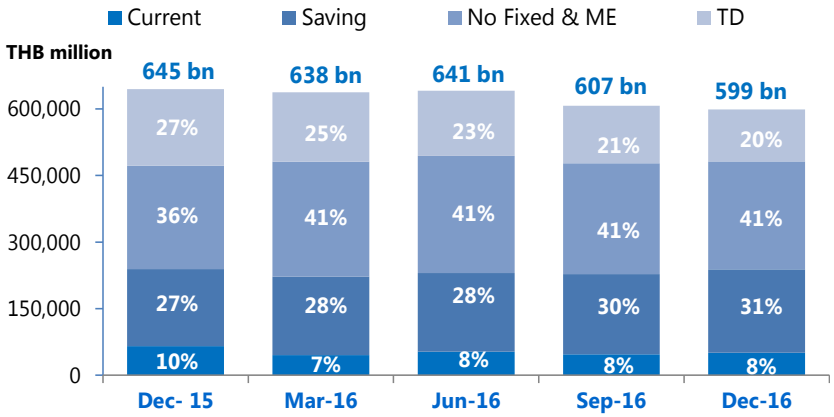
Retail deposits remained the largest portion of total deposits. As of Dec-16, retail deposit accounted for 68% of total deposit and commercial deposit accounted for 32%.

Figure 16: Deposit (bank-only) breakdown by products

(Unit: THB billion)	Dec-16	Sep-16	Jun-16	Mar-16	Dec-15
Current (CA)	**50**	47	**53**	**45**	**65**
Saving (SA)	**188**	**180**	**177**	**177**	**174**
No Fixed & ME	**243**	**250**	**265**	**260**	**233**
Time deposits (TD)	**115**	127	**143**	**154**	**170**
less than 12 months	**104**	116	132	142	158
more than 12 months	**11**	11	12	12	12
NCD & FCD	**2.5**	2.5	3.7	2.5	2.8
Total	**599**	**607**	**641**	**638**	**645**

Note : Bank-only financial statements
Remark: "TMB No Fixed" and "ME" are classified as savings account as they are not required to maintain minimum balance and have no restriction to term of deposit.

Figure 17: Deposit structure



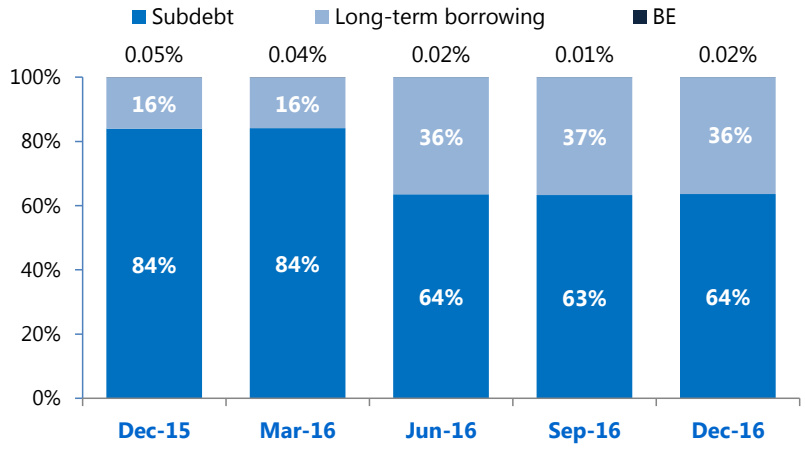
Note : Bank-only financial statements

Borrowings

YTD increase in borrowings was from the issuance of unsecured senior debenture

As of Dec-16, total borrowings of the Bank and subsidiaries of THB39,874 million rose by 0.3% QoQ and 32.1% YTD. The YTD change was because TMB issued USD300 million of unsecured senior debenture under EMTN program in April 2016.

Figure 18: Borrowings breakdown



Note: Bank-only financial statements

Liquidity and loan to deposit ratio

The Bank has a strong liquidity position and has maintained high proportion of liquid and low-risk assets.

As of Dec-16, on consolidated basis, total liquid assets (cash, interbank & money market and short-term investment) represented 18.6% of the total assets. The liquid assets consisted of 2.0% of cash, 13.9% of interbank & money market items and 2.7% of short-term investment.

Loan to deposit ratio was at 99.1% as of Dec-16, in line with business plan

In terms of loan to deposit ratio (LDR), the ratio increased to 99.1% as of Dec-16 from 97.5% as of Sep-16 and 90.1% as of Dec-15, on consolidated basis. Such level is in line with business plan and stayed in the Bank's comfortable range.

Figure 19: Total asset allocation and loan to deposit ratio

Total assets allocation	Dec-16	Sep-16	Jun-16	Mar-16	Dec-15
Cash	**2.0%**	1.6%	1.5%	1.5%	2.1%
Interbank & money market items	**13.9%**	14.4%	13.0%	13.2%	13.8%
Short-term investment	**2.7%**	3.6%	6.1%	8.3%	8.0%
Liquid assets / Total assets	**18.6%**	19.6%	20.6%	23.0%	23.9%
Loan to deposit ratio (LDR)	**99.1%**	97.5%	92.2%	91.9%	90.1%

Note: Consolidated financial statements

Capital adequacy

CAR and Tier 1 stayed at 18.1% and 12.8% as of Dec-16

As of Dec-16, the consolidated equity was THB83,848 million which rose 2.6% QoQ and 9.5% YTD. The increase was from profit generation during the period.

Maintain high capital ratios under Basel III

As of Dec-16, Capital Adequacy Ratio (CAR) of the Bank under Basel III calculation was at 18.1% while CET1 and Tier 1 ratios stayed at 12.8%.

The Bank has maintained the robust capital well above the Bank of Thailand's minimum requirement (including conservation buffer) of 9.125%, 5.125% and 6.625% of CAR, CET 1 and Tier 1 capital ratio, respectively.

Figure 20: Capital adequacy ratio (CAR) and Tier 1 capital under BASEL III

	Dec-16	Sep-16	Jun-16	Mar-16	Dec-15
CAR (% to risk-weight assets)	**18.1%**	18.4%	17.9%	16.9%	16.7%
CET 1 Capital (% to risk-weight assets)	**12.8%**	12.9%	12.5%	11.5%	11.3%
Tier 1 Capital (% to risk-weight assets)	**12.8%**	12.9%	12.5%	11.5%	11.3%

Note: Bank-only financial statements

Figure 21: Credit rating profile

	Standard & Poor's
International rating	
Long-Term Counterparty	BBB-
Short-Term Counterparty	A-3
Senior Unsecured	BBB-
Stand-Alone Credit Profile (SACP)	bb+
Outlook	Stable
(Upgraded in November 2013)	

	Moody's
International rating	
Bank Deposits	Baa2/P-2
Baseline Credit Assessment	ba2
Adjusted Baseline Credit Assessment	ba2
Senior Unsecured MTN	(P)Baa2
Outlook	Stable
(Upgraded in September 2014)	

	Fitch Rating
International rating	
Long-Term IDR	BBB-
Short-Term IDR	F3
Senior unsecured	BBB-
Viability Rating	bbb-
Support Rating	3
Support Rating Floor	BB+
National rating	
Long-Term	A+ (tha)
Short-Term	F1 (tha)
Subordinated Debt	A (tha)
Outlook	Stable

Figure 22: Distribution channels and number of employees

	Dec-16	Sep-16	Jun-16	Mar-16	Dec-15
Number of domestic branches	**452**	457	456	455	454
Number of ATMs and ADMs	**2,783**	2,763	2,787	2,804	2,796
Number of exchange booths	**31**	31	34	34	36
Number of employees	**8,980**	9,132	9,080	9,186	9,270

Source: Bank-only financial statements

TMB

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